

INTRODUCTION

You Can Learn and Benefit from America's 100 Years of Super Winners

After the market debacles of 2000 and 2008, most investors now know that they need to take charge and learn much more about what they're doing when they save and invest their hard-earned money. However, many investors don't know where to turn, whom to trust, or what they must stop doing if they are to achieve dramatically superior investment performance.

You don't have to give your money to a Bernie Madoff, who'll take it but won't tell you exactly what he's doing with it. Instead, you can and should read a few good investment books, attend some investment classes, or participate in an investment meet-up group so that you can learn how to invest with real confidence. At the very least, you should learn and understand well the sound principles and proven rules and methods that will protect and build your investment portfolio over time. Half of all Americans save and invest; now it's time to learn to do it intelligently with critical knowledge.

When I started investing, I made most of the same mistakes you've probably made. But here's what I've learned:

- You should buy stocks when they're on the way up in price, not on the way down. And when you buy more, you do it only after the stock has risen from your purchase price, not after it has fallen below it.
- You buy stocks when they're nearer to their highs for the year, not when they've sunk so low that they look cheap. You buy higher-priced stocks rather than the lowest-priced stocks.
- You learn to always sell stocks quickly when you have a small loss rather than waiting and hoping they'll come back.
- You pay far less attention to a company's book value, dividends, or PE ratio—which for the last 100 years have had little predictive value in spotting America's most successful companies—and focus instead on